

Tesla

Watch for AI-driven execution milestones

2 February 2026

Company Overview

Tesla, Inc. designs, develops, manufactures, sells, and leases fully electric vehicles and energy-generation and storage systems, and offers services related to its products, such as leasing of electric vehicles and sales of automotive regulatory credits. Its automotive products include the Model 3, Model Y, Model S, and Model X. Currently, the company produces its electric cars at gigafactories in the United States, Germany, and China.

Investment Overview

Leading EV manufacturer. Tesla is a leading global EV manufacturer, backed by its firm market leadership and healthy automotive margins. Tesla's leading share is backed by its economic MOAT in EV charging infrastructure and supercharger network, autonomous driving and other software (e.g., full self-driving aka FSD).

4Q25 earnings beat. Adjusted EPS of USD0.50 exceeded consensus by 10% (-16% y/y) while revenue was broadly in line (-3% y/y). Vehicle deliveries declined to 418k units (-16% y/y vs 428k estimate). Though, automotive (ex-credits) gross margin surprised positively at 17.2% (vs 13.7% estimate), supported by favourable regional mix and pricing.

2026 execution risk remains. Tesla's 2026 outlook hinges on progress across its AI-driven platforms (Cybercab, Optimus and in-house AI chips), with key milestones including Cybercab production targeted for April 2026, a full transition of FSD to a subscription model in 1Q26, and conversion of the Fremont Model S/X lines into an Optimus factory. Consensus currently expects auto volumes to recover to ~1.8mn units in 2026 (+8.2% y/y), though we see downside risk amid easing EV demand, intensifying competition in China, and Tesla's conversion of EV production toward Optimus.

Maintain USD450 TP. Our TP is based on FY26 earnings, using a target PE of 200x (or 2.5SD above historical mean). Tesla's pivot toward AI provides a long-term growth foundation, but near-term performance will remain sensitive to progress on AI-driven execution milestones.

Risks

Firstly, weaker-than-expected volume sales can lead to downside risks to Tesla's earnings, especially as EV competition heats up, noting rising competition and impressive EV sales growth from China OEM leaders such as BYD. Furthermore, the weakening macroeconomic environment in global/China markets can also pose headwinds to volume sales. Secondly, margin dilution remains as a risk to Tesla, especially amid the ongoing aggressive price cuts in the OEM industry.

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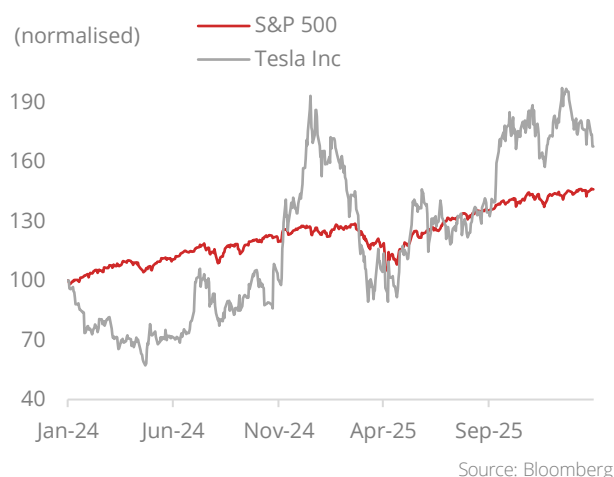
Key Financial Data

Bloomberg Ticker	TSLA US
Sector	Consumer Discretionary
Share Price (USD)	416.56
DBS Rating	HOLD
12-mth Target Price (USD)	450.0
Market Cap (USD b)	1,563.1
Volume (m shares)	81.7
Free float (%)	88.9
Dividend yield (%)	-
Net Debt to Equity (%)	-43.1
Fwd. P/E (x)	-
P/Book (x)	16.9
ROE (%)	4.9

Closing Price as of 29 Jan 2026

Source: Bloomberg, DBS

Indexed Share price vs Composite Index Performance



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Financial Summary

FY Dec (USDmn)	FY2023(A)	FY2024(A)	FY2025(A)	FY2026(F)	FY2027(F)
Sales	96,773	97,690	94,827	104,482	116,805
% y/y	18.8	0.9	(2.9)	10.2	13.4
Gross Profit	18,401	18,226	17,964	19,080	22,067
% y/y	(14.2)	(1.0)	(1.4)	5.8	17.4
EBITDA	15,370	14,443	13,128	13,777	16,132
% y/y	(18.9)	(6.0)	(9.6)	12.6	27.2
Net Profit	10,882	7,999	5,858	7,098	8,803
% y/y	(23.0)	(26.9)	(30.7)	25.6	30.1
FCF	4,358	3,581	6,220	(5,334)	(2,693)
% y/y	(42.4)	(17.8)	73.5	(207.2)	(139.5)
CAPEX	8,898	11,342	8,527	19,368	18,673
% y/y	24.3	27.4	(24.8)	118.2	(11.6)
EBITDA Margin (%)	15.9	14.8	13.8	13.1	13.6
Net Margin (%)	11.2	8.2	6.2	6.7	7.4
ROA (%)	11.5	7.0	4.5	4.4	5.1
ROE (%)	19.9	11.6	7.5	7.2	7.4
Tax Rate (%)	(10.8)	19.2	24.8	22.1	24.1

Source: Visible Alpha

Valuation Metrics

FY Dec	FY2023(A)	FY2024(A)	FY2025(A)	FY2026(F)	FY2027(F)
P/E (x)	125.5	172.9	237.0	206.0	179.8
P/B (x)	23.9	20.6	18.5	17.4	16.1
Dividend Yield (%)	0.00	0.00	0.00	0.00	0.00
EV/EBITDA (x)	50.0	88.0	111.4	103.4	88.3
FCF Yield (%)	0.3	0.2	0.4	(0.3)	(0.2)

Source: Visible Alpha

Credit & Cashflow Metrics

FY Dec	FY2023(A)	FY2024(A)	FY2025(A)	FY2026(F)	FY2027(F)
Debt / Equity (%)	8.2	11.1	10.1	9.5	8.6
Net Debt / Equity (x)	(0.4)	(0.4)	(0.4)	(0.3)	(0.3)
Debt / Assets (%)	4.9	6.7	6.1	5.8	5.3
Net Debt / Assets (x)	(0.2)	(0.2)	(0.3)	(0.2)	(0.2)
EBITDA / Int Exp (%)	98.5	41.3	38.4	40.7	43.6
ST Debt / Total Debt (x)	0.5	0.3	0.2	0.2	0.2
Debt / EBITDA (x)	0.3	0.6	0.6	0.7	0.6
[Cash + CFO] / ST Debt (%)	17.8	21.0	35.9	27.6	30.7
Receivables Days	13.2	16.5	17.6	16.8	17.6
Days Payable	54.4	46.6	51.5	54.6	51.1
Inventory Days	51.4	44.9	47.7	48.7	50.5

Source: Visible Alpha

Target Price & Ratings History



Source: DBS

Analyst: Elizabeth Pang

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STRONG BUY (>20% total return over the next 3 months, with identifiable share price catalysts within this time frame)

BUY (>15% total return over the next 12 months for small caps, >10% for large caps)

HOLD (-10% to +15% total return over the next 12 months for small caps, -10% to +10% for large caps)

FULLY VALUED (negative total return, i.e., > -10% over the next 12 months)

SELL (negative total return of > -20% over the next 3 months, with identifiable share price catalysts within this time frame)

*Share price appreciation + dividends

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